

inevitable rise in production. There were more drilling rigs, more money pouring into holes in the ground in the Gulf of Mexico, the North Sea and South America, and more young people deciding to study geology as a career. By the mid-1980s, though, the bottom had dropped out of the oil market and prices collapsed.

The smart investor learns to listen to the popular press with an ear tuned for panic extremes. At market tops, the tune will run: "This time it's different from all other times. . . . This is an investment you put money in and forget."

Even in 1980, the iron law of supply and demand still held, as common sense suggests it must. If there is more of an item for sale than there are buyers, the price goes down; if there is less, the price goes up. There may be time lags, but it always works like this.

The smart investor learns to listen to the popular press with an ear tuned for panic extremes. At market tops, the tune will run: "This time it's different from all other times. Trees will continue to grow and grow and grow. Buy yourself a tree and watch it reach 50ft, 100ft, 1,000ft. This is an investment you put money in and forget."

At bottoms, the song will become a dirge. Prices are severely depressed. Every company with any sense is getting out of this market. It has only a marginal future. Words such as "disaster" and "doomed" and "dead" will be used to describe such a market, and the alert investor will hear them clearly without a newsletter to advise him or a call from his stockbroker.